22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of September 30, 2022 to be effective for the year ended December 31, 2022 is 23.1%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine-month periods ended September 30, 2022 and 2021 are calculated as follows:

(1) Ordinary shares

	September 30, 2022		September 30, 2021	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit for the period attributable to owners of the parent company	9,143,900	31,227,509	12,057,207	28,600,669
Profit for the period available for ordinary shares	8,036,177	27,444,504	10,596,557	25,135,888
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,346	4,597	1,776	4,211

(2) Preference shares

	September 30, 2022		September 30, 2021	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit for the period attributable to owners of the parent company	9,143,900	31,227,509	12,057,207	28,600,669
Profit for the period available for preference shares	1,107,723	3,783,005	1,460,650	3,464,781
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,346	4,597	1,776	4,211

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and nine-month periods ended September 30, 2022 and 2021.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the nine-month periods ended September 30, 2022 and 2021 are as follows:

- Adjustments

(In millions of Korean won)	**2022**	**2021**
Adjustments:		
Income tax expense	9,572,925	9,919,442
Financial income	(5,720,068)	(2,208,660)
Financial expenses	5,011,592	1,824,505
Post-employment benefits	1,040,241	1,009,111
Depreciation	27,108,961	22,420,639
Amortization	2,349,640	2,224,890
Bad debt expenses	39,755	4,864
Dividend income	(373,528)	(98,738)
Share of profit of associates and joint ventures	(804,552)	(600,752)
Gain on disposal of property, plant and equipment	(135,940)	(319,620)
Loss on disposal of property, plant and equipment	34,798	69,596
Loss on valuation of inventories	3,336,120	1,264,259
Others	175,011	(205,004)
Total	41,634,955	35,304,532

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2022**	**2021**
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	1,957,951	(8,635,783)
Increase in other receivables	(846,896)	(280,576)
Increase in prepaid expenses	(484,023)	(601,768)
Increase in inventories	(14,612,657)	(5,668,287)
Increase (decrease) in trade payables	(4,079,647)	1,421,342
Increase (decrease) in other payables	(1,966,307)	143,310
Decrease in advances received	(63,920)	(59,086)
Decrease in withholdings	(435,965)	(19,242)
Increase in accrued expenses	287,421	439,807
Increase in provisions	69,566	1,382,851
Payment of post-employment benefits	(458,197)	(373,902)
Other	(1,206,401)	(1,458,869)
Total	(21,839,075)	(13,710,203)

For the nine-month periods ended September 30, 2022 and 2021, cash outflows from principal repayment (financial activities) amount to ₩ 739,313 million and ₩ 622,115 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 95,694 million and ₩ 77,844 million, respectively.